

Premium Accounting

Standard Operating Procedure

Document Reference	SOP-INS-002
Version	2.0
Effective Date	15 February 2025
Review Date	15 February 2026
Owner	Finance — Premium Accounting
Approved By	Chief Financial Officer
Classification	Internal Use Only
Applicable To	All newly onboarded insurance policies regardless of product line or distribution channel

1. Purpose

This SOP defines the process for reviewing newly onboarded insurance policies and establishing payment arrangements for policyholders. It ensures that premium payment methods are correctly set up in the policy administration and billing systems, that first-payment confirmation is communicated in writing, and that any discrepancies between quoted and billed premium are identified and resolved before the first due date.

2. Scope

This procedure applies to:

- All personal and commercial lines policies newly issued by Meridian Insurance Group
- Policies distributed via online, agent, broker, and bancassurance channels
- Mid-term additions that alter the premium billing arrangement

This procedure does NOT cover: claims payment processing (SOP-INS-007), refund handling (SOP-FIN-012), or reinsurance premium settlements.

3. Roles and Responsibilities

Role	Responsibilities
Branch / Agent	Confirms policyholder payment preference at point of sale; collects initial payment documentation; submits completed premium setup request to Home Office.
Home Office — Premium Accounting	Reviews policy setup in PAS; validates premium calculation; configures billing schedule; sends first-payment confirmation to policyholder.
Specialist (Collections)	Manages failed first-payment scenarios; initiates follow-up and reinstatement processes.
Agent (Ongoing)	Addresses policyholder queries on billing; escalates disputes to Home Office; confirms changes to payment method.

4. Pre-requisites and Triggers

This process is triggered upon policy issuance confirmation in the PAS. Pre-requisites:

- Policy number assigned and coverage confirmed as bound
- Policyholder identity and payment details collected at point of sale or via portal
- First premium amount calculated and presented in the Policy Schedule

5. Process Steps

5.1 Policy Review and Premium Validation

#	Activity	Responsible	Output / Notes
1	Home Office receives new policy notification from PAS	PAS (automated)	Email alert to Premium Accounting queue; policy record accessible in billing system

#	Activity	Responsible	Output / Notes
2	Validate premium calculation against rating output	Premium Accounting	Confirm that billed premium matches the quote/schedule; flag variances above SGD 10 for investigation
3	Confirm coverage period and instalment schedule	Premium Accounting	Annual, semi-annual, quarterly, or monthly — recorded in billing module
4	Verify policyholder banking or card details	Premium Accounting	Bank account or card details validated via verification micro-deposit or card check

5.2 Payment Method Setup

#	Activity	Responsible	Output / Notes
5	Configure direct debit mandate in billing system	Premium Accounting	GIRO/direct debit mandate activated; mandate reference recorded in PAS
6	Set up payment schedule in billing module	Premium Accounting	Due dates, amounts, and instalment plan loaded; first due date confirmed
7	Send first-payment confirmation to policyholder	Premium Accounting / CRM	Written confirmation dispatched by email and post (if requested); includes amount, due date, and payment reference
8	Notify agent or branch of billing setup completion	Premium Accounting	Agent receives system notification; confirmation logged in CRM

5.3 First Payment Processing

#	Activity	Responsible	Output / Notes
9	First premium collected on due date	Billing System (automated)	Payment deducted; receipt generated and emailed to policyholder
10	Payment reconciled against policy record	Premium Accounting	Receipt amount matched to policy; GL entry posted in SAP
11	Update billing status in PAS to 'Active – Current'	Premium Accounting	Policy confirmed as fully in-force; agent notified

6. Decision Points and Exception Handling

6.1 Premium Variance Identified

- Premium Accounting places policy billing on hold and notifies the issuing agent within 1 business day
- Agent or Underwriting confirms correct premium within 3 business days; endorsement issued if required

- Billing setup resumes only after written sign-off from Underwriting on the correct amount

6.2 Failed First Payment

- Collections Specialist contacts policyholder within 2 business days of failed payment
- Policyholder is given 5 business days to provide alternate payment method
- If unresolved: policy notice of cancellation issued per SOP-INS-011 (Policy Cancellation and Lapse)

6.3 Invalid Banking Details

- Agent notified immediately; policyholder contacted for correction within 1 business day
- Corrected details must be submitted via secure channel (portal or signed form)
- Premium Accounting re-validates and reactivates billing within 24 hours of correction

7. Systems and Tools

System / Tool	Purpose	Access
Policy Administration System (PAS)	Source of policy issuance data; payment setup trigger	Premium Accounting, Agent
Billing System (Sapiens)	Payment schedules, GIRO mandates, instalment management	Premium Accounting
SAP S/4HANA	General ledger posting of premium receipts	Finance
CRM (Salesforce)	Agent and policyholder communications, case tracking	Premium Accounting, Agent
Banking Portal (GIRO / Direct Debit)	Mandate registration and payment execution	Premium Accounting

8. Key Performance Indicators

- First-payment setup SLA: 100% of new policies have billing configured within 2 business days of issuance
- First-payment confirmation dispatch: Written confirmation sent within 1 business day of billing setup
- Premium variance rate: Less than 0.5% of new policies require premium correction post-issuance
- First-payment failure rate: Below 3% of monthly new business
- Billing setup error rate: Less than 1% of setups require rework

9. Related Documents

- SOP-INS-007: Medical and Life Claims Processing
- SOP-INS-011: Policy Cancellation and Lapse
- SOP-FIN-012: Premium Refund Processing
- POL-FIN-002: Premium Collection and Billing Policy

10. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	20 Mar 2022	R. Tan, Finance	Initial release

Version	Date	Author	Summary of Changes
1.1	10 Oct 2023	R. Tan, Finance	Integrated Sapiens billing module; updated GIRO mandate steps
2.0	15 Feb 2025	M. Patel, Finance	Added premium variance exception handling; aligned to SAP S/4HANA migration